

Past - Paper Definitions

(PP-2023)

- (i) Bookkeeping
- (ii) Liabilities
- (iii) Matching principle
- (iv) Periodic inventory system
- (v) Expenses
- (vi) Ledgers
- (vii) Financial statement
- (viii) Book value
- (ix) LIFO
- (x) Sum of Years Digit Method

No accounting record should be made unless it is supported by verifiable evidence

(xi) Objectivity Principle: According to this principle: ^{Using cost rather than market values in accounting for assets} Financial statements

Should be based on facts and evidence, not on personal opinions or beliefs.

Means accounting information should be verifiable and supported by documentation, such as receipts, invoices & contracts.

ex: if a company valuing its inventory, it should use objective

⇒ objective to describe asset valuation that are factual and can be verified by independent experts.

methods like cost price or market price, rather than estimating a value based on personal opinion. This ensures that the inventory value is accurate and verifiable. ex: "a lot of money" they will say "\$10,000" if company incurred transportation expense, a voucher should be prepared as evidence.

(XII) Generally Accepted Accounting principles

→ are a set of rules and standards that companies follow when preparing their financial statements.

→ These principles ensure that financial information is accurate, consistent, and comparable across different companies.

example:

- for example, the principle of consistency, which requires companies to use the same accounting methods from one period to the next, making it easier to compare financial performance over time.

(xiii) Intangible Assets:

Assets which have no physical existence and which cannot be seen, touched or felt are called intangible assets. But still use in business operations

- eg
- Goodwill
 - Patent
 - Trademarks
 - Brandnames
 - Copyrights

(xiv) Marketable Securities:

→ marketable securities are like short-term investments. They are easy to buy and sell, and companies use them to make money on their extra cash.

→ Marketable securities are typically classified as current assets on a company balance sheet. They are highly liquidated.

ex:

- Certificates of deposit
- Commercial paper
- Money market funds.
- Stocks, bonds

(XV) Investing Activities:

→ it is a category of cash flows that involve the purchase and sale of long-term assets and investments.

→ These are company's long-term spending and earning plan. it is about how a company uses its money to grow and make more money.

ex: Receiving cash from selling assets

- Purchase of long-term assets
- Sale of long-term assets
- Investment in securities
- Loans made to others

• Acquisition or disposal of businesses

(XVI) Capital expenditure (CapEx):

→ is the money a company spends to buy long-lasting assets. These assets are used to improve the business and generate future income.

ex:

Purchasing property, Acquiring equipment
Building new facilities, etc.

Past-Paper (2019-CS)

- what is Accounting?
- what are fix assets?
- what are assets?
- what double entry system of Accounting?
- what is depreciation?
- what are drawings?
- what is the meaning of debit?
- what is an Account?
- what is the matching principle?
- what is basic accounting equation?

→ it is the fundamental principle in accounting that shows the relationship between a company's assets, liabilities and equity.

$$\therefore \text{Assets} = \text{Liability} + \text{Equation}$$

- What is the purpose of P & L account?

→ Also known as income statement. it provides a clear picture of a company's financial performance over a specific period, typically a year.

→ it shows Revenue, Expenses & P & L.

◦ what is the purpose of bank-reconciliation statement?

→ it ensure that the cash balance recorded in a company's accounting records matches the balance shown on the bank statement.

→ By reconciling the two-balances, businesses can:

- identify discrepancies
- detect fraud
- improve accuracy
- prevent errors.

◦ what are the unpresented cheques?

→ cheques that have been written and recorded by a company but have not been yet presented to the bank for payment. This means the bank ^{has} ~~does~~ not deducted the amount from the company's account.

◦ what is cash book?

→ it is like a diary for a business's cash transactions. it records all the money a business receives (cash inflows) and spends (cash outflows).

→ This include:

- Cash Receipts

- Cash payments.

◦ what is the purpose of Trial balance?

→ it is a way to ensure that all the debits and credits in the accounting system balance.

→ if the total debits equal the total credits, it indicates that there are no mathematical errors in the accounts.

(PP-2020) MIT

- o Financial Accounting
- o Bookkeeping
- o Generally accepted accounting principles
- o Bank overdraft
- o Accrual Accounting
- o Accumulated depreciation
- o Straight-line depreciation
- o Current liabilities
- o Dividends
- o owner's equity
- o Sole proprietorship
- o Balance sheet
- o Stockholders

Materiality Concept:-

→ Only important information needs to be included in financial statements.

→ This helps keep the statements clear and easy to understand.

example:

Consider a company with total assets of \$100 million.

o A \$1000 error in inventory valuation might not be considered material because it is a small percentage of the total assets.

o However, if the company's net income is only \$100,000, then a \$100,000 error could significantly impact the profit margin and be considered material.

ex 2: if a company loses a huge contract, that is material info bcz it will affect company future profits. if company spend small amount in office supplies, that probably not material info.

NFS check:

o An NFS check, also known as a bounced check, is a check that is returned by a bank because there are not enough funds in the account to cover the amount of the check.

o This can happen if the account has insufficient funds or if the account has been closed.

Natural resources:

⇒ Assets that come from nature and are used to produce goods or services.
e.g oil, gas, coal, timber & minerals.

(PP-2018) - CS

- Book keeping
- Accounting equation
- Journal
- Current Assets
- Outstanding expenses
- Intangible assets
- Revenue Expenditure
- Current liabilities
- Depreciation
- Account
- Trade discount
- Balance sheet
- Contra entry
- Depreciation

Error of Commission:

⇒ Mistake that occurs when a transaction is recorded in the correct account but with the wrong amount or in the wrong subsidiary book.

⇒ This error often caused by human error or carelessness.

Example:

o if a company purchases inventory worth \$1,000 but records it as \$10,000 in the inventory account, this is an error of Commission.

Goodwill:

⇒ Goodwill is an intangible asset that arises when a company buys another company for more than the fair market value of its assets minus its liabilities.

$$\text{Goodwill} = \text{Purchase Price} - \text{value of identifiable assets}$$

⇒ This extra amount paid is because the acquiring company believes the target company has valuable intangible assets like a strong brand, loyal customers, or skilled employees that contribute to its future earnings.

⇒ Goodwill is not depreciated but is tested annually for impairment to ensure it's valued accurately.

e.g. customer loyalty, brand recognition, Trade secrets, executive talents

(PP-2017) - MIT

- o Allowance
- o Trial balance
- o Entry
- o Journal
- o Return inward
- o Revenue expenditure
- o Account
- o Gross profit
- o Accrued expenses
- o Balance sheet
- o Depreciation
- o materiality concepts
- o Provision:

→ An estimate of a future expenses or liability.

ex:

Creating a provision for doubtful debts to account for potential bad debts

o Compensating errors:

→ Errors that offset each other, resulting in no net impact on the financial statements.

e.g

Overstating revenue by \$100 in one period and understating it by \$100 in the next period.

Revenue Expenditures:

→ Expenses incurred to maintain or repair existing assets.

e.g

Paying for the annual maintenance of machinery.

Invoice:

→ A bill or statement of charges for goods or services.

e.g A company sends an invoice to a customer for \$1000 for goods delivered.

Control Accounts:

→ Accounts used to summarize and control the details of subsidiary ledgers.

e.g

A control account for accounts receivable summarizes the balances of individual customer accounts.

(PP-2020) CS

- o The Cost principle
- o Liabilities
- o owner's equity
- o Bookkeeping
- o Accrued Expenses
- o Depreciation
- o Bad debts
- o materiality concept
- o Drawing
- o Cash book.
- o Bank overdraft
- o Balance sheet

Window Dressing:

→ Window dressing is the practice of manipulating financial statements to make them look better than they actually are. Goal is: ↑ Profit & Liquidity
e.g.:-

methods: short term borrowing
Bringing sales forward
sale & leaseback
include intangible assets

A company might accelerate revenue recognition or delay expense recognition to improve its financial performance.

Accounting Cycle:

→ Series of steps involved in recording, classifying, and summarizing financial statements.

Steps:

1. Analyzing transactions
2. Journalizing transactions
3. Posting to the ledger
4. Preparing a Trial balance
6. Adjusting Trial balance
5. Adjusting entries
7. Preparing financial statements
8. Closing entries
9. Post - closing Trial balance.

Accrual Basis of Accounting:

→ The basis of Accounting recognizes revenues and expenses when they are earned or incurred, regardless of when cash is received or paid.

e.g

if a company provides services to a customer on credit in December, it would recognize the revenue in December, even if the payment is received in January.

The Matching principle:

→ "Expenses should be recognized in the same accounting period as the revenues they generate."

ex:

if a company sells a product on credit in one period, it should recognize the cost of goods sold in the same period, even if the payment is received later.

(PP-2018) - MIT

- o Accounting
- o Revenue
- o Compound journal entry
- o Expenses
- o separate entity concept
- o Trial Balance
- o Unpresented cheques

Imprest system ^{to take how a business is spending cash}

→ The imprest system is a system of managing petty cash expense (money used for expenditure on smaller items).

e.g. A fixed amount of cash is given to a cashier, and they use it to pay small expenses.

Capital profit:

→ Capital profit is the profit earned on the sale of capital assets.

e.g.

- o Profit from the sale of land.

Capital loss:

Capital loss is the loss incurred on the sale of capital assets.

e.g. o

Loss from the sale of land.

Partnership:

→ A partnership is a business organization where two or more individuals share ownership or profits.

Business:

→ An Organization engaged in economic activity to earn profit.

e.g.

detail store etc.

Octroi Duty:

→ Octroi duty is a tax levied on goods entering a city or town.

e.g.

A tax imposed on goods entering a city for sale.

Vouchers:

→ A voucher is a document that authorizes a payment or expense.

e.g.

Purchase voucher etc.

(PP-2014) MIT

- Bookkeeping
- Transaction
- Cash Discount
- Nominal Accounts
- Vouchers
- Going concern Concept
- Ledgers
- Capital
- Invoice
- Business
- Narration
- Accounting Cycle
- Dual Aspect concept
- Accounting

Proprietor:

- An individual who owns a business.
- They are solely responsible for the business's operations, finances and liabilities.
- The business is not separate from owner, means the owner's personal assets can be used to pay off business debts.
- Owner has unlimited liability.

Profession:

- Profession involves using accounting principles to record, analyze and interpret financial information.

(PP-2019) -IT

- Profit
- Capital
- Closing entries
- fixed Assets
- Cost of Goods Sold
- Double entry system
- Depreciation
- NFS cheques
- Current Liabilities
- Contingent Liabilities

Q. What can errors be in Trial balance?

- Error of omission:- Transactions are not recorded at all.
- Error of commission:- Transactions are recorded incorrectly.
- Error of principle:- Transactions are recorded using incorrect accounting principles.

Q. Define Post-closing TB?

→ A TB prepared after all closing entries have been posted. It shows only permanent accounts and their balances, such as assets, liabilities & owner's equity.

Q. Liquid Assets:

Assets that can be easily converted into cash with minimal loss in value.

e.g

Cash, marketable securities, etc.

Q. Cash Equivalents:

→ Short term, highly liquid investments that can be readily converted to cash. They are short term, low risk assets.

e.g

Treasury bills, commercial paper & money market funds.

Consistency Principle:

→ "Businesses should use the same accounting methods and procedures from one accounting period to next. This allows for better comparisons and analysis of financial data." while preparation of financial statements

ex: if a company uses the SLM of depreciation for one year, it should continue using the same method in subsequent years.

Q. Accounting vs Bookkeeping

→ The broader process of recording, classifying, summarizing, analyzing and interpreting financial information. It involves making decisions based on that information.

→ The more mechanical process of recording financial transactions in journals and ledgers.

→ It is part of accounting but does not involve analysis or decision-making.

Q. Define Disclosure Principle?

According to disclosure principle:

Companies must report all relevant information in its financial statements to ensure that users of the information are not misled.

All relevant & material info should be reported.

good example.

A company called "TechGears" is about release financial report.

They have had a successful year and also recently lost a major law suit.

ex:

TechGears must include information about the lawsuit in its report, even though it is bad news. They need to disclose the potential financial impact of the lawsuit on their future earnings.

if TechGears hide the lawsuit investors might see only positive financial results and make uninformed decisions about investing companies.

Define conservatism principle?

Conservatism principle states that the accountant should not anticipate any profit or any future income however they should provide for all possible losses. Should record only losses not unrealised gains.

Basically, expenses and liabilities should be recognized as soon as possible in case of uncertainty about the possible outcome but record assets and revenues only when they are expected to be received.

Also known as prudence.

For example, if there are two options to choose from, the accountant should choose the one with lower numbers to stay on the safe side.

The aim of the principle is to protect investors from potentially overstated assets & revenues and also understatement of liabilities & expenses.

Accounting principles Summary

Accounting principles

Assumptions

- Business entity
- money measurement
- Accounting Period
- Going Concern

Concepts

- Dual Aspect
- Revenue Realisation
- matching
- cost
- Objectivity / evidence

Convention

- materiality
- full disclosure
- Consistency
- Conservatism

⇒ "Accounting conventions" are devised by usage & practice need not to have universal application.

⇒ "Accounting principles" are basic norms & assumptions on which whole accounting system has been developed & established.